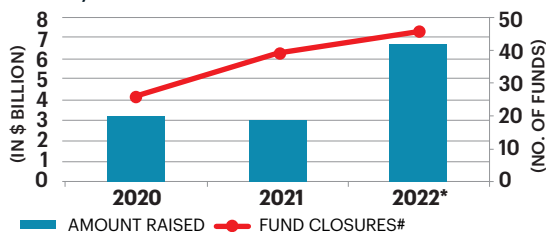


## BUT, HEY! SURPRISE...

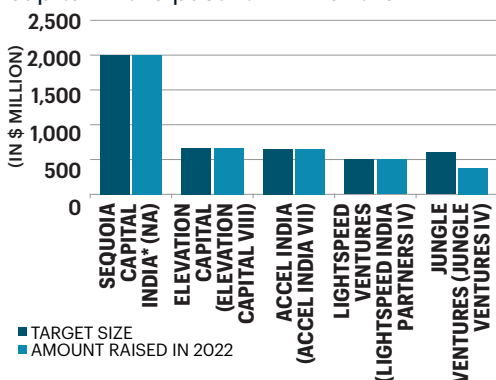
The amount raised by VC firms in India has nearly doubled since 2020...



\*AS OF DECEMBER 7; #EITHER FIRST, SECOND OR FINAL CLOSE; ABOVE INFORMATION BASED ON PUBLICLY DISCLOSED DATA; **SOURCE** VENTURE INTELLIGENCE

## LOCAL FLAVOUR

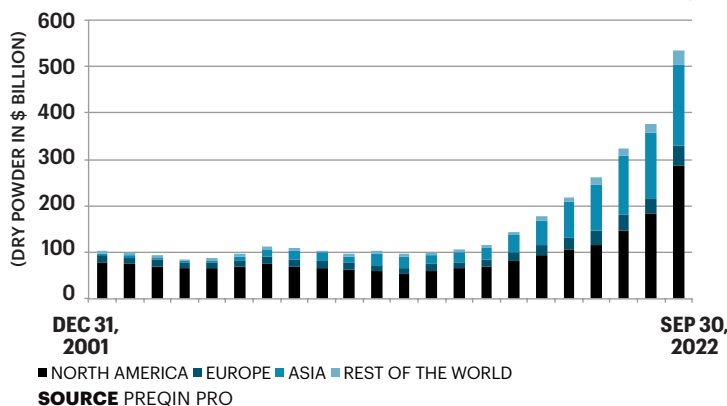
Most India-dedicated funds have raised capital in the past 18-24 months



TOP 5 VC FIRMS BY AMOUNT RAISED IN 2022  
DATA AS OF DECEMBER 7  
FUND NAMES ARE IN BRACKETS; NA: NOT AVAILABLE  
FUND DETAILS ARE BASED ON PUBLICLY DISCLOSED DATA  
**SOURCE** VENTURE INTELLIGENCE

## ...AND IT'S GLOBAL, TOO

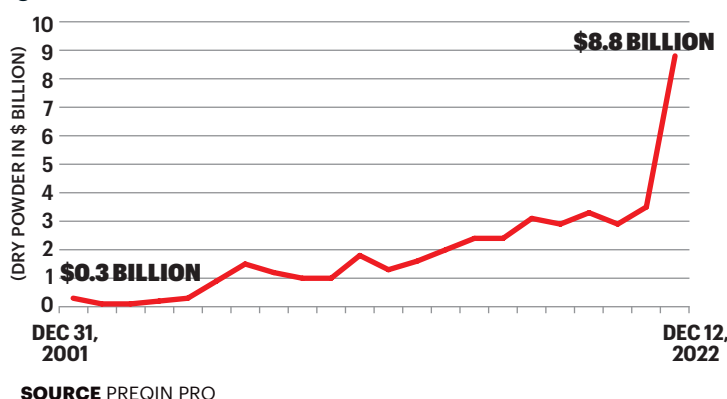
...and VC dry powder worldwide is also at an all-time high



**SOURCE** PREQIN PRO

## GROWING TALL

India-based fund managers have witnessed a drastic growth in their cash reserves



**SOURCE** PREQIN PRO

GRAPHICS BY **PRABAL BISWAS**

start-ups which hope that VCs will at some point be driven to loosen their purse strings due to deployment pressure from their investors.

LPs would certainly want to avoid a 2021-like frenzy, where some VCs with five-year funds built portfolios at such a pace that they ran out of capital in two years. That also meant the necessary due-diligence had taken a back seat. Also, swift deployment and a large portfolio makes it incredibly tough for VCs to find meaningful exits in a fund's life cycle. Consequently, GPs are now taking it slow and putting off drawdowns (a GP's right to

ask for the committed capital from investors) from LPs to later days.

The 2021-vintage funds that had deployed capital are now worried, as a quantum of the money had gone into start-ups at very high valuations. Now, they have to wait for a few years before some of the firms grow into their valuations. And that is reflecting in the potential internal rates of return (IRRs), a metric used by VCs to measure a fund's performance over the years.

Sasha Mirchandani, Founder and Managing Partner of Kae Capital, which recently closed its third fund with a corpus of \$100 million,

says the fundraising cycles have shrunk so much that GPs are going back to LPs for fresh allocation in quick succession; in some cases, under a year. It is totally unhealthy as investors aren't able to assess a fund's investments before recommitting, he adds. "Getting into companies at the right valuation and right vintage is most important for the fund's success. Even for our new fund, I would tell the investors to hold the money because we have enough in the bank. If we are not writing a cheque, our IRRs go down," he says. Even Blume's Reddy says that they don't drawdown the